

According to RealtyTrac's US Property Tax Rates Report for 2014, the average effective property tax rate for single family homes was 1.29 percent in 2014. The report showed that owners of high-end homes and owners of low-end homes tend to pay the most property tax rates.

Of course, rates also vary by geographic location. States with the highest average property taxes were New York (\$15,625), New Jersey (\$8,108), New Hampshire (\$5,795), Connecticut (\$5,646), and Hawaii (\$5,024).

The lowest were Alabama (\$618), West Virginia (\$931), New Mexico (\$1,096), Tennessee (\$1,116), and Indiana (\$1,418).

Tax on digital currency

Digital currency is money exchanged via the internet. An example is Bitcoin. A digital asset, it isn't printed like paper currency. Bitcoin uses a peer-to-peer payment network.

The community of digital currency users is growing. As of August 2013, the value of bitcoins in circulation exceeded \$1.5 billion. Millions of dollars worth of bitcoins are exchanged daily via the payment network.

For federal tax purposes, the IRS treats bitcoin as property. The general tax principles that apply to property transactions also apply to virtual currency transactions.

INHERITANCE AND ESTATE TAX

Inheritance tax

In the US, inheritance tax is levied by the state. It applies when you inherit money or property from a deceased person. The beneficiary is the one who is deemed responsible for paying the tax. As of 2015, however, only eight states imposed this tax.

There are some exemptions to the inheritance tax rule. Some states exempt the surviving spouse from paying the tax. Children and other dependents may also qualify as exempt, depending on the state.

Estate tax

A similar tax is the estate tax. This differs from inheritance tax in a significant way. Estate tax is paid by the estate of the deceased instead of by the beneficiary. There are also thresholds that must be reached before tax is imposed. With estate tax, the heir isn't responsible. The estate pays the tax, which is a flat 40 percent.

Every American has a federal tax exemption amount, which in 2016, was \$5.45 million. The 40 percent tax rate is applied to the amount that exceeds the threshold.

The good news is that each spouse gets that threshold amount. So a couple has an exemption of \$10.9 million.

State taxes might also be due, but it depends on the state and whether there's an estate tax levied there. Most Americans are not affected by estate tax because the threshold values are so high.